FINANCIAL ACCOUNTING & REPORTING

Suggested Answers

March-April 2022

Answer to the Question # 1 (a)

True and fair means:

- Compliance with applicable IFRS
- Adherence to the Companies Act 1994 and/or other Statues
- In the absence of more specific requirements, application of GAAP and where as appropriate adherence to the accepted industry practices.

Companies Act 1994 uses term "a true and fair view" rather than "the true and fair view". As there may have number of "a true fair view" but only one "the true and fair view". Companies act allow Financial Statements to base on historical cost and a option of using revaluation method which is entirely optional. The management, who oversee governance may opt to prepare Financial Statement under cost method or under revaluation method. But in either case Financial Statements is a true and fair view. But under IFRS, the entity has to use revaluation method if cost method results material difference with revaluation method in order to facilitate the faithful representation. Thus, in IFRS it is "the true and fair view"

Answer to the Question # 1 (b)

No, the true and fair view has not been achieved as IFRS requires to priorities "Substance over Form" than that of legal requirements to ensure faithful representation of the financial state of entity at reporting date. Preparing and presenting FS applying income tax provision for recognition & measurement of a few items results prioritizing legal form over economical substance.

Answer to the Question # 1 (c)

SAHL apply cost method to recognize PPE where the carrying value significantly differ (lower) from recoverable cost. For example, SAHL owns land situated at Gulshan North Avenue has recoverable value of 20 time than that of cost price it incurred back in 1975.

Answer to the Question # 1 (d)

No, it is not achieved. The purpose of general-purpose FS is to enable wide range of users to make informed economic decision. If FS does not reflect exact financial position or does not ensure faithful representation, the objective of FS is not achieved.

Answer to the Question # 1 (e)

The case above does not indicate whether auditors has issued unqualified opinion or modified opinion. Therefore, in absence of same information no conclusion/comments could be made on auditor ethics.

Answer to the Question # 2 (a)

Schedule of amortization relating to other non-current assets for the year ended December, 31, 2021:

Amortization of intangibles:	
Patent	Tk28,000
Trademark	15,000
Noncom petition agreement	40,000
Goodwill	10,000
Total amortization expense	Tk93,000

Answer to the Question # 2 (b)

Other non-current asset section of balance sheet, December 31, 2021:	
Patent, net of accumulated amortization of Tk52,000	Tk140,000
Trademark, net of accumulated amortization of Tk15,000	585,000
Non-competition agreement, net of accumulated amortization of Tk40,000	160,000
Goodwill, net of accumulated amortization of Tk10,000	390,000

Computations:

1. Patent On January 2, 2021, Munn determined that the patent has a shorter useful life than originally used in establishing an amortization schedule. This is a change in estimate and is accounted for prospectively. The remaining unamortized balance is written off over the new estimate of useful life:

Net patent balance at 1/2/21: (Tk192,000 - Tk24,000*)	Tk168.000
Remaining life of patent (divide by)	÷ 6
Amortization for 2021	Tk 28,000

**The accumulated amortization at 1/2/21 is computed as (Tk192,000÷16 years) × 2 years = Tk24,000.*

2. Trademark the cost of the trademark is three-quarters of Tk800,000, or Tk600,000. Munn considers the trademark to have an indefinite life, but the maximum period over which intangibles can be amortized is 40 years. The trademark need not be amortized over 20 years even thought this is the legal life of a trademark. Trademarks are renewable; hence, in reality they have an indefinite legal life. The amortization for 2021 is Tk600,000 divided by 40 years, or Tk15,000.
3. Non-competition agreement The cost of the non-competition agreement is one-quarter of Tk800,000, or Tk200,000. The agreement has a useful life of five years; thus, the amortization for 2021 is Tk200,000 divided by five years, or Tk40,000.
4. Goodwill First compute the amount of goodwill.

Purchase price of acquired firm	Tk1,200,000
Less: Fair value of net assets acquired	800,000
Excess of cost over net assets acquired	Tk 400,000

The goodwill is Tk400,000. No mention is made of the period over which the goodwill is expected to yield excess earnings. Munn could select a shorter period, but in this solution, the maximum of 40 years is assumed. The amortization for 2021 is Tk400,000 divided by 40 years, or Tk10,000.

Computations of account balances at December 31, 2021

	Patent	Trademark	Noncompete Agreement	Goodwill
Balance, 12/3/19	Tk168,000	-0-	-0-	-0-
Additions in 2020		Tk600,000	Tk200,000	Tk400,000
Deduct 2020 amortization	(28,000)	(15,000)	(40,000)	(10,000)
Balance 12/31/20	Tk140,000	Tk585,000	Tk160,000	Tk390,000

Answer to the Question # 3 (a)

The accounting issues identified in each case are as follows:

(1) Requires correction of errors, in accordance with IAS-8.
(2) Requires year-end adjustment.

Required journal entities:
Correction of errors and year-end adjustment.

Correction of errors
To be accounted for retrospectively as follows:
(i) Cumulative effect: (Tk.10,00,00,000 ÷ 50 X 7 =Tk.1,40,00,000)

Dr.	Beginning retained earnings	Tk.1,40,00,000	
Cr.	Accumulated depreciation		Tk.1,40,00,000
	(correction of error).		

(ii) Cumulative effect: (Tk.2,60,00,000 - Tk.2,40,00,000=Tk.20,00,000)

Dr. Beginning retained earnings	Tk.20,00,000	
Cr. Cost of goods sold		Tk.20,00,000
(Change in accounting policy)		

Year-end adjustment

(i)	Dr. Depreciation expense	Tk.20,00,000	
	Cr. Accumulated depreciation		Tk.20,00,000
	(Year-end adjustment)		
(ii)	Dr. Cost of goods sold	Tk.10,00,000	
	Cr. Inventory		Tk.10,00,000
	(Year-end adjustment)		

Answer to the Question # 3 (b)

For the case of Mr. X, the obligating event (food poisoning) has occurred before 31 December 2021, (and given that it is probable and the amount can be reliably estimated), a provision under IAS-37 should be made in respect of the year 2021.

The journal entry is as follows:

(ii)	Dr. Other losses	Tk.4,00,000	
	Cr. Provision for loss		Tk.4,00,000

This may also be analyzed under IAS-10, and the case involving Mr. X will be an "adjusting event", and the loss of Tk.4,00,000 charged to the 2021 statement of profit or loss and other comprehensive income.

For the case of Mr. Y, the obligating event (food poisoning) has not occurred as at 31 December 2021, and it is therefore not appropriate to account for the provision in the year 2021. The loss of Tk.600,000 will then be charged to the 2022 statement of profit or loss and other comprehensive income, and a similar journal entry as above will be made when paid.

This may however be analyzed under IAS-10 and the case involving Mr. Y will be a "non-adjusting event" which merely requires disclosure (nature and financial effect) in the notes to the financial statements for 2021.

Answer to the Question # 3 (c) (i)

The accounting measurement and recognition here will be done following the relevant provisions of IFRS-15.

(i) FV of IFCW point = Tk.10 ÷ 100 FCW points = Tk.0.10.
FV of 1,000,000 FCW points =Tk.0.10 x 1,000,000 =Tk.100,000.
FV of 1,000,000 FCW points adjusted for the likelihood that FCW points will be redeemed =Tk.100,000 x 80% =Tk.80,000.

Therefore, the consideration is allocated to the Octane/Petrol sales and car wash, on a relative price proportionate basis, is as follows:

	Stand-alone selling prices	Price allocated
Octane/Petrol	Tk.1,000,000	1,000,000 ÷ 1,080,000 x Tk.1,000,000 = Tk.926,000
FCW	Tk.80,000	80,000 ÷ 1,080,000 x Tk.1,000,000 =Tk.74,000
Total	Tk.1,080,000	Tk.1,000,000

The journal entry to record the Octane/Petrol sales and customer loyalty programme as at 31 December 2021 is as follows:

Dr. Cash	Tk.1,000,000	
Cr. Octane/Petrol sales revenue		Tk.926,000
Cr. Unearned car wash revenue		Tk.74,000

Note: There should be a corresponding Dr. Cost of goods sold and Cr. Octane/Petrol inventory of the sale of Octane/Petrol.

Answer to the Question # 3 (c) (ii)

In this case, the total amount of car wash revenue to be recognized for the month of January 2022 is (400,000 ÷ 800,000 x Tk.74,000)	Tk.37,000
Total amount of car wash revenue to be recognized by 31 January 2022	Tk.37,000
Less : Amount of car wash revenue already recognized in prior periods	(0)
Amount of car wash revenue to be recognized for the month of January 2022	Tk.37,000

The journal entry to record the car wash revenue for the month of January 2022 is as follows:

Dr. Unearned car wash revenue	Tk. 37,000	
Cr. Car wash revenue		Tk. 37,000

There should be a corresponding journal entry to record the cost of car wash.

Answer to the Question # 3 (c) (iii)

Given the change in expectation, the total amount of car wash revenue to be recognized by 28 February 2022 is Tk.59,200 {(400,000 + 200,000) ÷ 750,000 x Tk.74,000}.

Total amount of car wash revenue to be recognized by 28 February 2022	Tk.59,200
Less : Amount of car wash revenue already recognized in prior periods	Tk.(37,000)
Amount of car wash revenue to be recognized for the month of February 2022	Tk.22,200

The journal entry to record the cash wash revenue for the month of February 2022 is as follows:

Dr. Unearned car wash revenue	Tk.22,200	
Cr. Car wash revenue		Tk.22,200

There should be a corresponding journal entry to record the cost of car wash.

Answer to the Question # 4

Workings notes:

	Amount in Tk.
1 Revenue:	
Revenue as per Trial Balance	11,899,000
Less: Contract under dispute	(120,000)
Add: Recoverable cost	65,000
	11,844,000

2 Analysis of expenses

	Cost of sales	Distribution cost	Admin. Expens
Opening inventory	974,000		
Purchases	8,935,000		
Staff cost		270,000	352,000
Depreciation:			
Land and buildings		15,000	15,000
Distribution equipment		116,000	
Other PPE		80,000	80,000
General expenses		216,000	216,000
Amortization of patent			20,000
Foreign exchange loss (note 3)			20,386
Closing inventories	(1,304,000)		
	8,605,000	697,000	703,386

3 Foreign exchange loss:

Payable at date of transaction	846,000
Payable at year end date (846,000 x 85/83)	(866,386)
Exchange loss at end of reporting period	(20,386)

4 Continuing / discontinuing analysis

	Continuing Operation (Tk.)	Discontinued Operation (Tk.)	Total Taka
Revenue (note 1 - 90:10)	10,659,600	1,184,400	11,844,000
Cost of sales (note 2 - 85:15)	(7,314,250)	(1,290,750)	(8,605,000)
Gross Profit	3,345,350	(106,350)	3,239,000
Distribution cost (note 2 - 90:10)	(627,300)	(69,700)	(697,000)
Admin. Expenses (note 2 - 80:20)	(562,708)	(140,677)	(703,386)
Profit/(loss) from operation	2,155,342	(316,727)	1,838,614
Finance cost (35,000+10,000)	(45,000)	-	(45,000)
Investment income	41,000	-	41,000
Profit/(loss) before tax	2,151,342	(316,727)	1,834,614
Income tax	(336,000)	-	(336,000)
Net profit/(loss) for the year	1,815,342	(316,727)	1,498,614

Answer to the Question # 4 (a)

Statement of profit or loss for the year ended on 31 December 2020
Continuing operations

	Taka
Revenue (note 4)	10,659,600
Cost of sales (note 4)	(7,314,250)
Gross Profit	3,345,350
Distribution cost (note 4)	(627,300)
Admin. Expenses (note 4)	(562,708)
Profit from operation	2,155,342
Finance cost (35,000+10,000)	(45,000)
Investment income	41,000
Profit before tax	2,151,342
Income tax	(336,000)
Profit for the year from continuing operations	1,815,342
Discontinued operations:	
Loss for the year from discontinued operations (note 4)	(316,727)
Profit for the year	1,498,614

Answer to the Question # 4 (b)

Statement of changes in equity for the year ended on 31 December 2020

	Share Capital (Tk.)	Share Premium (Tk.)	Retained Earnings (Tk.)	Total Taka
Balance at 1 January 2020	700,000		2,000,000	2,700,000
Changes in equity for 2020:				
Issue of share capital	100,000	350,000		450,000
Dividends			(90,000)	(90,000)
Total comprehensive income			1,498,614	1,498,614
Balance at 31 December 2020	800,000	350,000	3,408,614	4,558,614

Notes

a) The profit from operations is arrived at after charging

Depreciation (30,000+116,000+160,000)	306,000
Amortization of intangibles	20,000
Employee benefits (270,000+352,000)	622,000
Foreign Exchange loss	20,386

b) A final ordinary share dividend for 2020 of Tk. 50,000 is proposed for payment on 28 June 2021.

c) On 1 June 2020 the company classified its soft toy division as held for sale. The division had been loss-making for some time due to severe competition from the Far East. It is expected that the closure will be completed by 30 April 2021.

Amount in Tk. attributable to the division in 2020 were: revenue Tk. 1,184,000, expenses Tk. 1,505,955 and pre-tax loss Tk. 321,555

Answer to the Question # 4 (c)

Statement of financial position as at 31 December 2020

	Taka	Taka
ASSETS		
Non-current assets		
Property, plant and equipment	2,700,000	
Intangible	180,000	
		2,880,000
Current assets		
Inventories	1,304,000	
Trade and other receivables (1,600,000 - 55,000)	1,545,000	
Cash and cash equivalents	300,000	
		3,149,000
Total assets		6,029,000
EQUITY AND LIABILITIES		
Equity		
Ordinary share capital	800,000	
Share premium	350,000	
Retained earnings	3,408,614	
Total equity		4,558,614
Non-current liabilities		
Preference share capital		200,000
Current liabilities		
Trade and other payables (850,000+20,386 note 3)	870,386	
Taxation	400,000	
		1,270,386
Total equity and liabilities		6,029,000

PROPERTY, PLANT AND EQUIPMENT

	Freehold land & buildings	Distribution equipment	Other plant & equipment	Total
Cost				
At 1 January 2020	1,200,000	800,000	1,400,000	3,400,000
At 31 December 2020	1,200,000	800,000	1,400,000	3,400,000
Depreciation				
At 1 January 2020	100,000	204,000	90,000	394,000
Charge for the year	30,000	116,000	160,000	306,000
At 31 December 2020	130,000	320,000	250,000	700,000
Carrying amount				
At 1 January 2020	1,070,000	480,000	1,150,000	2,700,000
At 31 December 2020	1,100,000	596,000	1,310,000	3,006,000

INTANGIBLES

Cost at 31 December 2020	200,000
Amortization	(20,000)
Carrying amount at 31 December 2020	180,000

Answer to the Question # 5 (a)

Ghora Ltd.
Consolidated statement of financial position
As at December 31, 2021

	BDT	BDT
ASSETS		
Non-current assets		
Property, Plant & Equipments (660,700+635,300 + 24,000 (W1)+24,500-1000 (W1) -3,000 (W1)		1,340,500
Intangible assets (101,300 + 144,475)		245,775
Investment in joint venture (W6)		93,600
Capital CWIP (78,000+3000-24,500)		56,500
Right-of-use assets (4,500+1,500)		6,000
		1,742,375
Current assets		
Inventories (235,400+195,900-2,400(W5))	428,900	
Trade and other receivables (174,900 +78,800-50,000)	203,700	
Right-of-use assets (800+700)	1,500	
Advance, deposit & prepayments (4,500+1,500)	6,000	
Cash and cash equivalents (23,700+25900+10,000)	59,600	
		699,700
Total assets		**2,442,075**
EQUITY AND LIABILITY		
Equity attributable to the owners of Ghora Ltd.		
Ordinary share capital		100,000
Revaluation surplus		125,000
Retained earnings (W4)		1,028,300

Non-controlling interest (W3)		166,275
Total equity		1,419,575
Non-current liabilities		
Trade and other payables (25,500 + 4,500)	30,000	
Lease liabilities (12,000 + 2,000)	14,000	
		44,000
Current liabilities		
Trade and other payables (151,200 + 101,800-40,000)	213,000	
Lease liabilities (5,300 + 700)	6,000	
Un-earned revenue (45,000+13,500)	58,500	
Liability for VAT	95,000	
Taxation (85,000+80,000)	165,000	
Deferred consideration	441,000	
		978,500
Total equity & liabilities		**2,442,075**

Workings:

(1) Net Assets - Pupe Ltd.

	Year end	At acquisition	Post-acquisition
	BDT	**BDT**	**BDT**
Share capital	500,000	500,000	-
Retained earnings - as per question	312,100	206,700	105,400
Less: Intangible assets	(72,000)	(90,000)	18,000
FV adjustment of PPE (120,000-(92,000 x 48/46)	24,000	24,000	-
Depreciation thereon (24,000 x 2/48)	(1,000)	-	(1,000)
PURP (W7)	(3,000)	-	(3,000)
	760,100	**640,700**	**119,400**

(2) Goodwill - Pupe Ltd.	**BDT**
Consideration transferred:	
Cash payment at acquisition	250,000
PV of deferred payment (441,000-41,000)	400,000
Non-controlling interest at acquisition (640,700 (W1) x 25%)	160,175
	810,175
Net assets at acquisition (W1)	(640,700)
Goodwill before impairment	169,475
Impairment to date	(25,000)
Goodwill	**144,475**

(3) Non-controlling interest - Pupe Ltd

	BDT
Non-controlling interest at acquisition (W2)	160,175
Share of post-acquisition reserve (119,400 (W1) X 25%)	29,850
Penalty from VAT authority (25% of 95,000)	(23,750)
	166,275

(4) Group retained earnings

	BDT
Ghora Ltd.	1,084,800
Unwinding of discount on deferred consideration:	
Two years (441,000-(441,0000/1.05^2)	(41,000)
Less PUP (W5)	(2,400)
Pupe Ltd. (75% of Tk 119,400 (W1))	89,550
Penalty from VAT authority (75% of 95,000)	(71,250)
Share of investment in Bisree Ltd. (W6)	3,600
Less Impairment to date (25,000 + 10,000)	(35,000)
	1,028,300

(5) PURP in inventory

		Pupe Ltd.	Bisree Ltd.
		BDT	BDT
Selling price	100	12,000	15,000
Cost	80	9,600	12,000
Gross margin (Unrealized profit)	**20**	**2,400**	**3,000**

(6) investment in joint venture - Bisree Ltd.

	BDT	BDT
Cost		100,000
Add: Post acquisition profit	12,000	
Less: PURP (W5)	(3,000)	
	9,000	
Group share X 40%		3,600
		103,600
Less Impairment to date		(10,000)
		93,600

(7) PURP in PPE

	BDT
Carrying amount of PPE in the books of Ghora Ltd (15,000x 1/3)	5,000
Carrying amount of PPE, if transfer had not taken place (10,000X 1/5)	(2,000)
	3,000

Answer to the Question # 5 (b)

In accordance with the concept, when preparing the consolidated statement of financial position of the Ghora Ltd group, the assets and liabilities of the parent and subsidiaries are added together, as if the group were a single entity. (for example, trade receivables of Ghora Ltd and Pupe Ltd are added). This does not apply to Bisree Ltd, which is a joint venture, not subsidiary.

Single entity concept also means that any intra-group transactions and balances need to be eliminated, as otherwise would be double counted in the context of the group as a single entity. Hence the intra-group balances between Ghora Ltd and Pupe Ltd are adjusted to agree and then cancelled out.

Any un-realized profit between parent and subsidiary companies also need to be eliminated (for example machine sold to Ghora Ltd) since the profit has not yet been realized outside the group.

It is important to distinguish between control and ownership. Control is reflected by including all of the subsidiary's assets, liabilities, income and expenses in the consolidated financial statements even where the parent does not own 100% of that subsidiary. For example, 100% of Pupe Ltd's inventories Tk. 195,900 is added to Ghora Ltd even though Ghora Ltd owns 75% of those inventories.

Ownership is then reflected by showing that part of the subsidiary's net assets and results included in the consolidation, which is not owned by the parent, as a non-controlling interest. Ghora Ltd's consolidated statement of financial position shows non-controlling interest of Tk. 166.275, representing that part of Pupe Ltd not owned by Ghora Ltd.

---The End---